is settled. Unfortunately, further cross-country research along existing lines may not yield credible answers. We can continue trying to find some variable that will select out those countries that have received aid and also grown (or attempt to find some form of aid that is positively correlated with growth). But what do we conclude once we do that? Put another way, when the same data are pored over many times, there is a danger we will find patterns that are there by accident. This is why many economists have become sceptical that cross-country studies can tell us much more.

Of course, the layperson would despair of econometrics long before the economist. It should, however, be of concern to the layperson that the best example we have of aid working systematically for a group of countries is the Marshall Plan, whereby the ravaged countries of post-war Western Europe were returned to the ranks of the rich. The reason it worked so well might be that these countries' institutions, including the education of their people, were probably capable of sustaining much higher per capita GDP than their post-war low. Perhaps this is why one might see a country emerging from conflict experience a substantial period of catch-up growth, where aid is very effective – Mozambique or Uganda might be more recent examples. Nevertheless, it should be sobering that the canonical recent example of a country clawing itself out of poverty into the ranks of the rich is South Korea. South Korea was indeed ravaged by war, but its spectacular growth started approximately when aid inflows tapered off.

DODGING 'DUTCH DISEASE'

According to some, there is a better way – to focus on what we know works. Specifically, funding should support micro-interventions or programmes, validated through evaluations and experimentation, that might be very helpful, say, in furthering education and health care,